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US Thematics, Public Policy, Economics, Equity & Fixed Income Research

Power Struggle: AI, Data Centers & Local Backlash

Morgan Stanley Research

Morgan Stanley & Co. LLC | July 16, 2026

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All information as of July 14, unless otherwise indicated.

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THEMATICS & PUBLIC POLICY

Weighing Data Center Backlash

Community pushback is accelerating in 2026, which pressures costs, timelines & can impact the geography of the AI build-out

Why Communities Are Pushing Back

Power & Bills

Concern that surging data center demand lifts electricity prices and strains the local grid — the top-cited worry in surveys.

Environment

Water use for cooling and waste heat, plus broader land-use and environmental impacts.

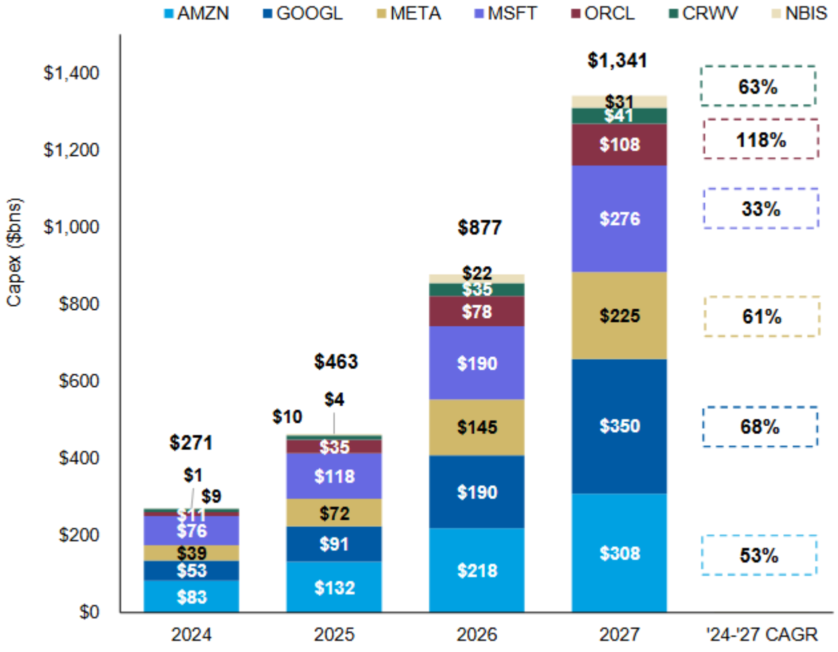
Quality of Life

Noise, dust, traffic and disruption from large-scale construction close to homes.

Source: Morgan Stanley Research Power Struggle: AI, Data Centers & Local Backlash (7/14/2026)

AI Capex Underpins the Growth Outlook, But Local Opposition Threatens the Pace of the Build-Out

- MS estimates AI capex at **~$877bn in 2026**, rising above **$1.3tn in 2027** — with upward bias to hyperscaler estimates
- Data Center Watch estimates ~$156bn of projects were cancelled or delayed in 2025, and **~$130bn in 1Q26 alone**
- Growing secondary and tertiary markets, such as West Texas, attract projects with abundant land and power resources, though these areas are also beginning to see opposition and introduction of guardrails



Source: Morgan Stanley Research

Opposition Varies at Every Level of Government

Local — where most of the action is

- Zoning changes, permitting pauses, infrastructure cost-sharing and ratepayer-protection requirements have been implemented. Lawsuits alone have also been enough to make developers withdraw.

State — a rising wave of moratorium bills

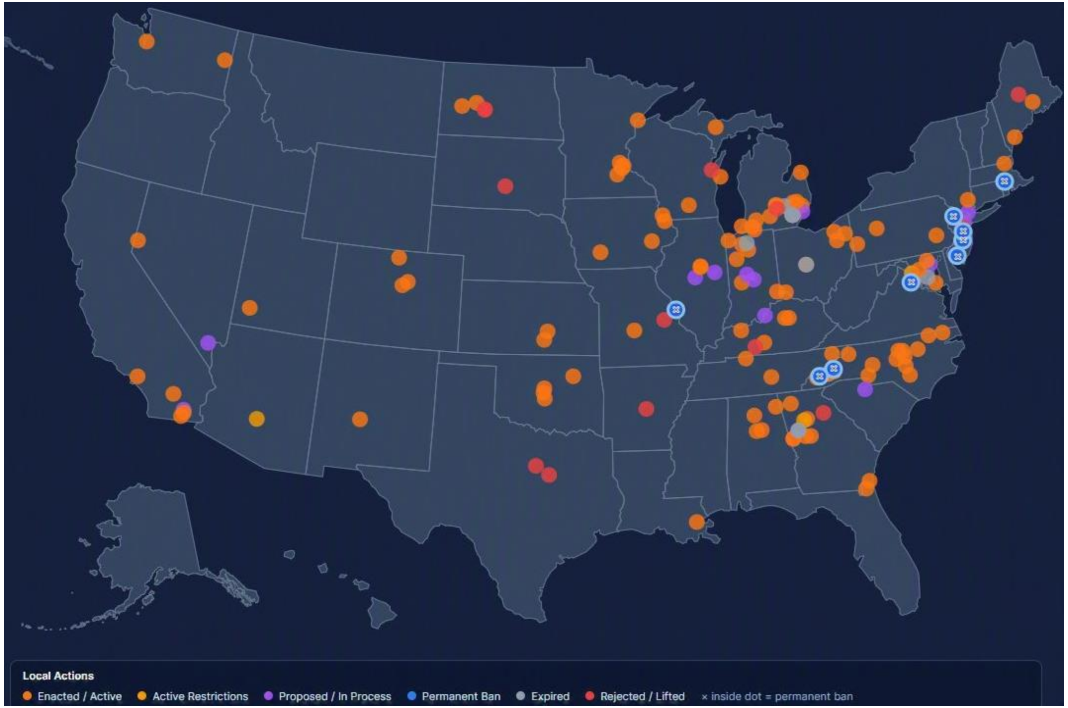
- 15 state legislatures have proposed moratoriums; most are temporary and aimed at slowing, not reversing, the build-out — spread evenly across red, blue and divided governments. New York is the only state thus far to enact a moratorium.

Federal — supportive, but tightening the process

- Washington leans supportive for national-security reasons, yet is introducing legislation and a more stringent approval process (ratepayer protection, sustainability disclosure).

Source: Morgan Stanley Research Power Struggle: AI, Data Centers & Local Backlash (7/14/2026)

Mostly Temporary, Not Permanent, Moratoriums are Spreading Across the US



Source: Interconnected Capital

Source: Morgan Stanley Research Power Struggle: AI, Data Centers & Local Backlash (7/14/2026)

State-Level Moratorium Proposals Are Escalating As Well

State	Bill(s)	Status	Alignment	Key provision
DE	SB 353	Introduced	Aligned (D)	Moratorium to Jan 2027 on DCs ≥100 MW
GA	HB 1059	Introduced	Aligned (R)	No new DC permits until Dec 2028
ME	LD 307	Vetoed	Aligned (D)	Coordination council + limits on DCs >20 MW
MD	HB 120	Failed	Aligned (D)	Bars new DCs under co-location terms
MI	HB 5594	Introduced	Divided	No new DC approvals until Apr 2027
MN	HF 4888	Failed	Divided	No permits pending PUC report (2027)
NH	HB 1265	Failed	Aligned (R)	One-year construction moratorium
NY	**A11560**	**Enacted**	**Aligned (D)**	**1-yr moratorium on large-DC permits**
OK	SB 1488	Failed	Aligned (R)	Moratorium to Nov 2029 + study
PA	SB 1359	Introduced	Divided	3-yr moratorium on hyperscale DCs
SC	H 5526	Introduced	Aligned (R)	Blocks action pending oversight rules
SD	SB 232	Failed	Aligned (R)	1-yr moratorium on hyperscale DCs
VT	S.205	Introduced	Divided	Moratorium to 2030 + impact report
VA	HB 1515	Continued	Aligned (D)	No final approval until interconnection
WI	SB 1061	Failed	Divided	Bars operation until 14 conditions met

Most proposals are temporary moratoriums, not outright bans — and appear roughly evenly across Democratic, Republican, and divided governments. Source: NCSL, MultiState, Morgan Stanley Research. Data as of July 15, 2026.

Source: Morgan Stanley Research Power Struggle: AI, Data Centers & Local Backlash (7/14/2026)

Motivation Behind Moratoriums for Various Stakeholders

Place type	Moratorium logic	Typical concern
Rural counties / small towns	"Pause before greenfield industrialization happens."	Farmland, aquifers, wells, roads, fire service, grid capacity, landscape character.
Suburbs/ Semi-Rural	"Pause before an industrial-scale use lands near homes."	Noise, lighting, property values, diesel backup generators, traffic, neighborhood fit.
Large cities	"Pause before utility, environmental-justice, and land-use systems are overwhelmed."	Power demand, water use, ratepayer impacts, redevelopment priorities, neighborhood burden.
States	"Pause or regulate before large-load projects shift costs onto the statewide grid."	Electricity planning, utility bills, emissions, water reporting, permitting, tax incentives, consumer protection.
Federal	"Pause or condition national AI/data-center buildout until national safeguards exist" — but current federal executive/regulatory policy also has a competing pro-buildout / speed-to-power posture.	AI safety, national competitiveness, grid reliability, ratepayer protection, labor displacement, civil liberties, environmental impacts, export controls, and whether local communities retain approval power.

Source: Morgan Stanley Research

The Changing Math for Municipalities

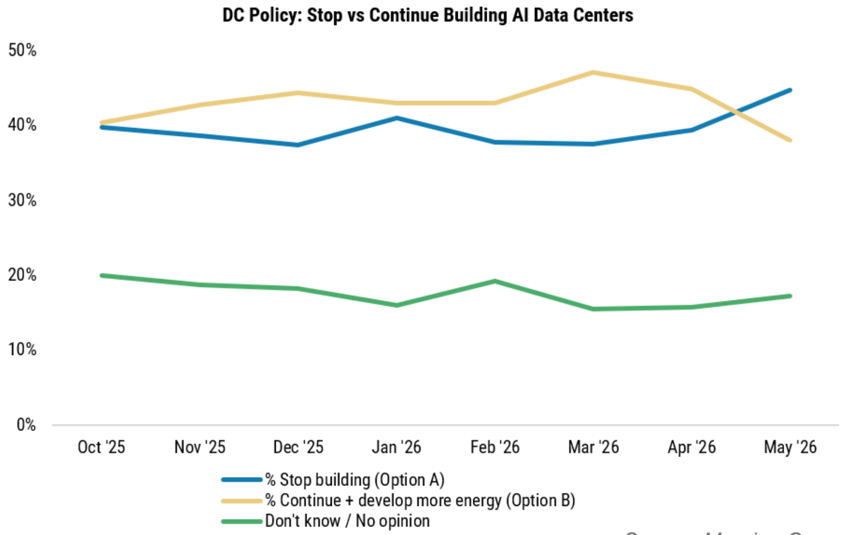
Pushback is reshaping the economics of hosting a data center — and it is largely credit-positive for local governments.

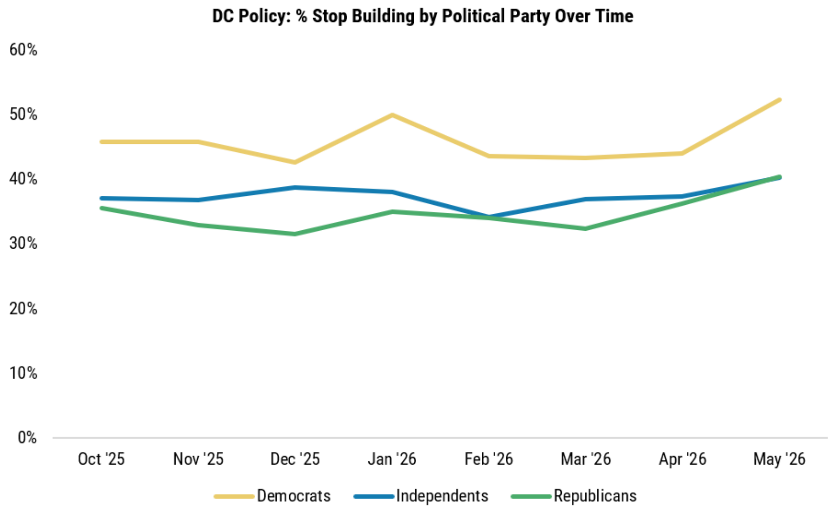
- **Foregone revenue is real:** abated tax revenue already exceeds ~$1bn per year in some states, as generous incentives outpace the jobs and tax base created.
- **Incentives are being rolled back:** a growing number of states are tightening eligibility, adding claw-backs, and scaling back data center tax breaks.
- **Fairer negotiation ahead:** tougher terms on abatements should drive faster growth in taxable assessed value — and therefore property-tax revenue.
- **Net effect:** more balanced economic trade-offs, with communities capturing more of the upside from hosting large loads.

Source: Morgan Stanley Research Power Struggle: AI, Data Centers & Local Backlash (7/14/2026)

Public Sentiment Has Worsened

For the first time since Oct '25, more survey respondents favored halting construction (~45%) than continuing while expanding energy supply (~38%). Concerns are common across party lines, including electricity and water prices, grid strain and the environment.





Source: Morning Consult, AlphaWise Web Intelligence

Source: Morgan Stanley Research Power Struggle: AI, Data Centers & Local Backlash (7/14/2026)

Sustainability: Three Levers to Address Community Concerns

- **Utilization —** Many facilities run at just 30–40% utilization; better use of existing capacity reduces the need for incremental builds and lifts return on deployed capital.
- **Power —** On-site generation, demand response and grid-support services — pairing renewables and storage and using UPS batteries — lower grid strain and can create new revenue streams.
- **Water —** Policy is shifting from outright restrictions toward standards and disclosure; liquid cooling, water recycling and ultra-pure recovery help operators meet tightening requirements.

Source: Morgan Stanley Research Power Struggle: AI, Data Centers & Local Backlash (7/14/2026)

Policy Incentives & the Path Forward

- Geopolitical realities are hard to ignore, as we think the strategic imperative of AI overrides local concern
- If local efforts become permanent and expand, or are echoed at the federal level, the US risks ceding ground to China in the global AI race
- That underscores **our base case that the build-out becomes conditional** upon local concessions
- In that outcome, projects are heavily scrutinized, delayed, or made contingent on environmental and community concessions
- Community benefits and local economic trade-offs become an increasingly important part of getting projects approved

Source: Morgan Stanley Research Power Struggle: AI, Data Centers & Local Backlash (7/14/2026)

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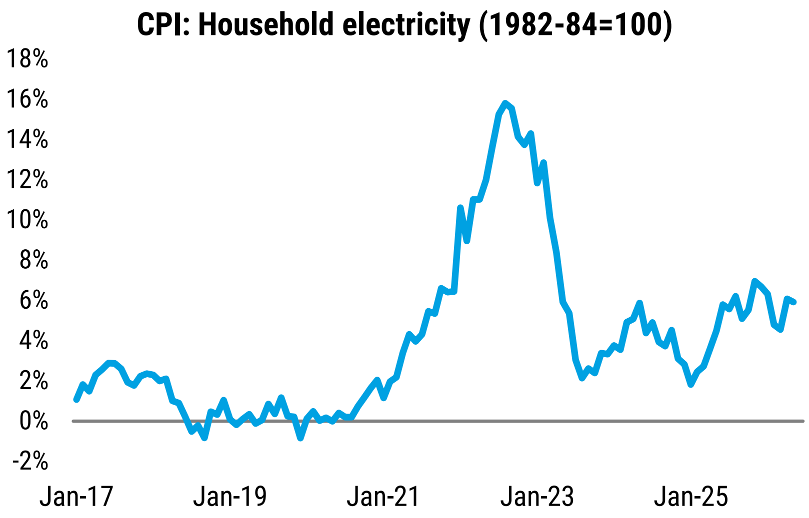
ECONOMICS

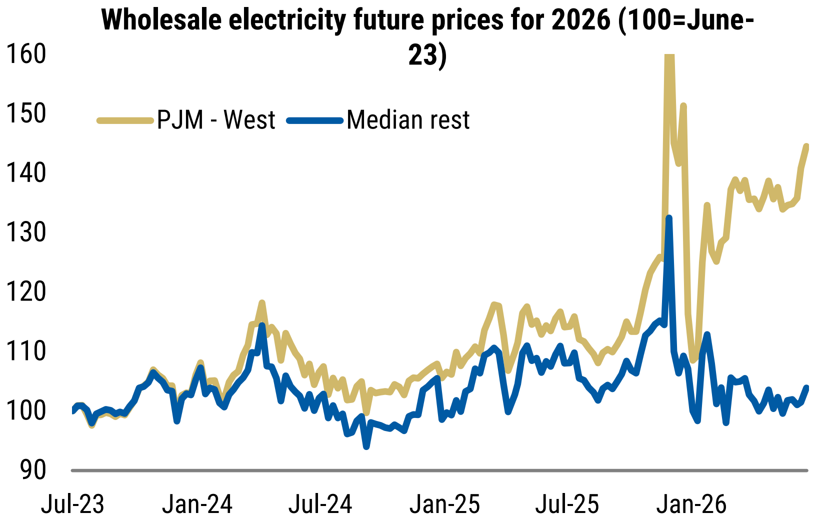
Inflation Impacts

Electricity inflation is likely to settle above its pre-pandemic trend, with localized pressure

Electricity CPI inflation remains sticky and higher than the pre-COVID trend, in particular in exposed regions



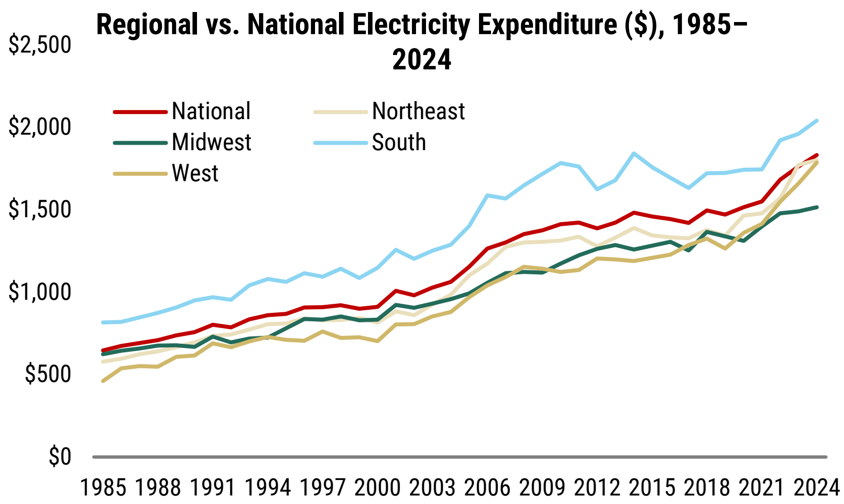
Source: BLS, Morgan Stanley Research

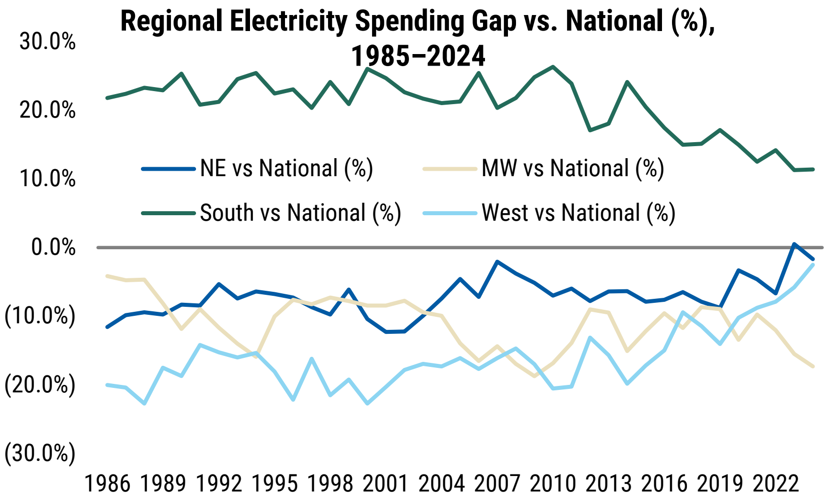


Source: Morgan Stanley Research

Regional Effects for the Consumer

Average annual electricity spend has increased, at the national and regional levels





Source: BLS, Haver Analytics, Morgan Stanley Research

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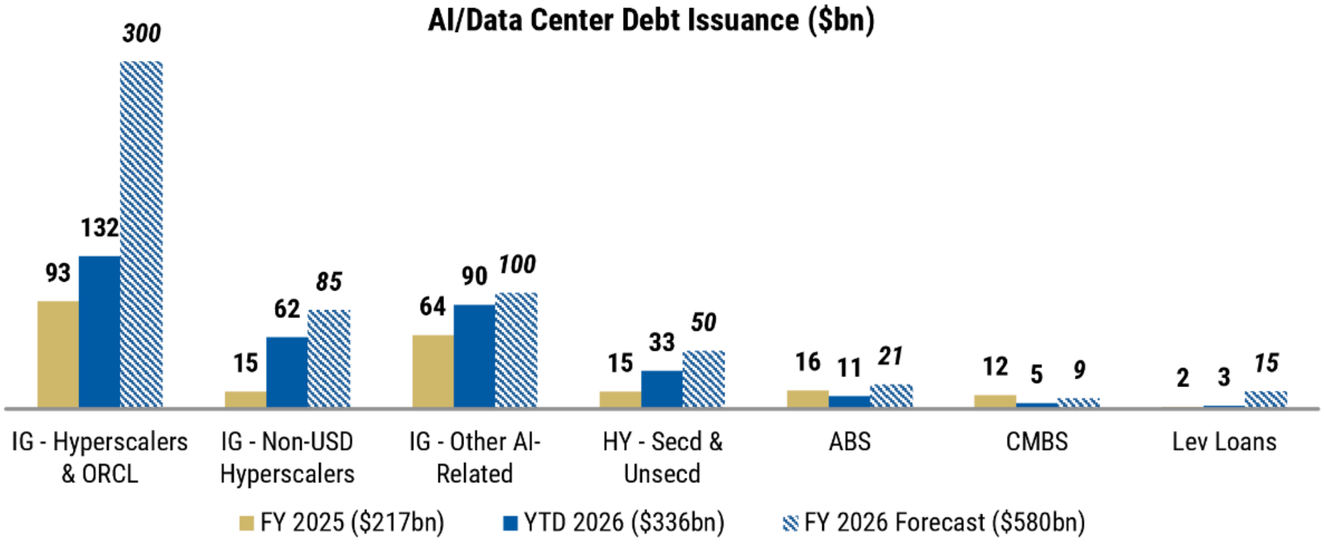
FIXED INCOME

Credit & Financing

The AI build-out shapes the credit narrative: supply, concentration and disruption risk across corporate, securitized, private credit and munis

Debt Issuance Is the Biggest Story in Credit

We estimate **~$311bn of AI-related debt issuance** in 1H26 (+43% vs. full-year 2025) — and forecast **~$580bn for FY26**, with the AI ecosystem driving nearly all incremental corporate supply.



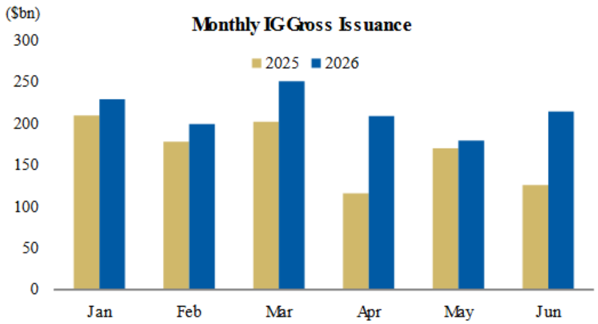
Source: Bloomberg, Trepp, CreditFlow, PitchBook, Morgan Stanley Research estimates. Data cut as of 7/7/26.

Source: Morgan Stanley Research Power Struggle: AI, Data Centers & Local Backlash (7/14/2026)

Two Scenarios for Credit Supply

- **Scenario 1 — Drawn-out cycle, less supply:** Lower 2027/28 capex tempers financing needs. As nearly all incremental corporate supply this year came from AI, a slowdown could sharply reverse issuance — pushing already-tight spreads toward new lows.
- **Scenario 2 — Front-loading ahead of tighter rules:** Developers rush to lock in permits, land and projects before the window narrows — a near-term "hockey-stick" in capex that adds to supply pressure; the heaviest-supply markets could underperform.
- **Baseline:** Federal support persists for national-security reasons, but with a more stringent approval process — ratepayer protections and sustainability conditions.

Supply pressure is building in the IG market



Source: Morgan Stanley Research, Bloomberg, PitchBook LCD. Returns as of 6/30/26.

Securitized & Private Credit

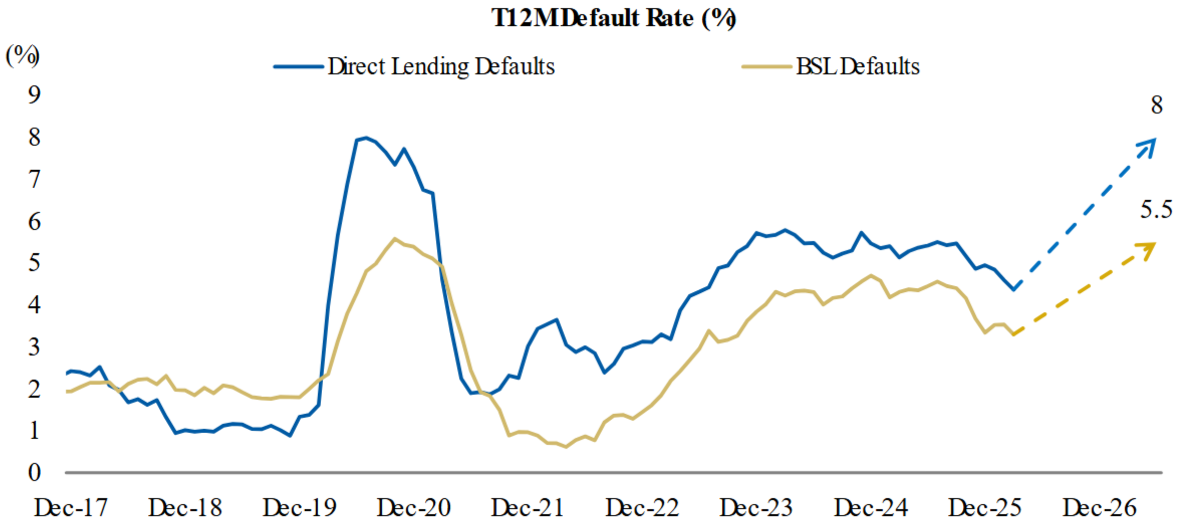
Beyond corporate credit, the pushback reshapes securitized and private markets.

- **Securitized (ABS/CMBS):** Existing deals look insulated from the political risk facing early-stage projects; slower new builds are supportive — limiting oversupply ahead of key refinancing windows
- **Software disruption fears:** BDCs carry ~25% software exposure and the BSL market ~16%; software loans are down ~7pts YTD versus less than 1pt for the ex-software cohort
- **Default cycle:** Our baseline is a refinancing-driven default cycle reaching ~8% in private credit and ~5.5% in broadly syndicated loans

Source: Morgan Stanley Research Power Struggle: AI, Data Centers & Local Backlash (7/14/2026)

The ‘Anti-AI’ Trade

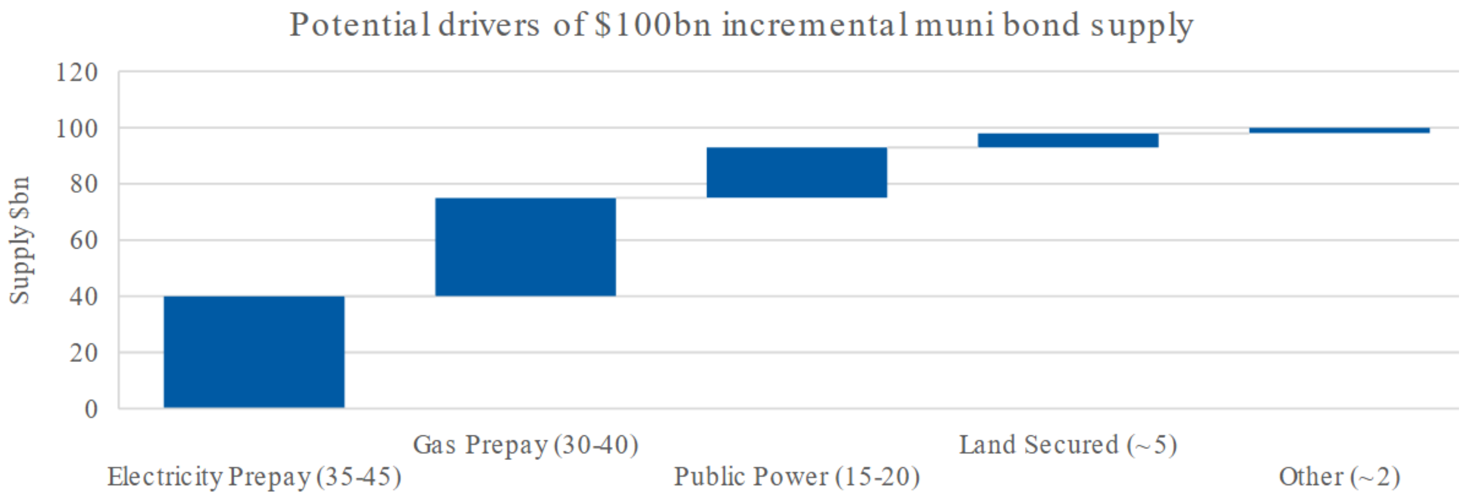
A more gradual build out pushes back the disruption timeline, giving affected companies additional time to adapt, reposition, and manage through the transition & allowing YTD laggards like private credit/BDCs time to catch up



Source: S&P, Pitchbook | LCD, Morgan Stanley Research

Munis: Powering the AI Race

Rising power prices are credit-positive for municipalities — we see scope for up to ~$100bn of incremental muni issuance, led by energy prepay debt, plus public power and land-secured deals.



Source: Morgan Stanley Research estimates.

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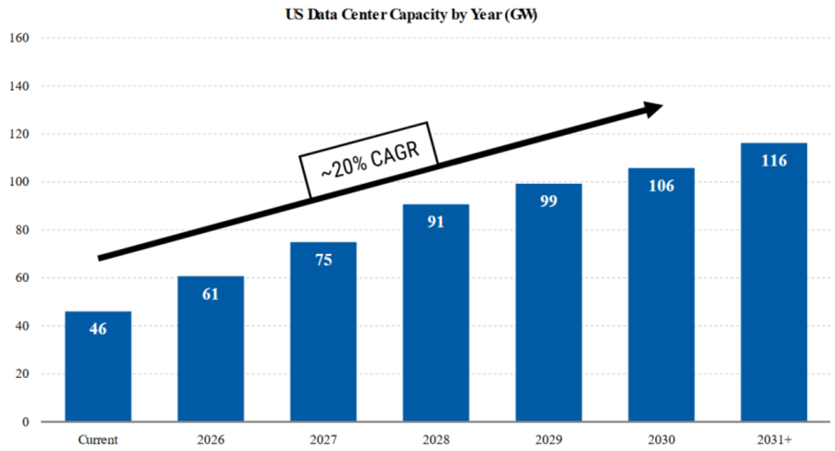
EQUITIES

Power Generation & REITs

A structural power shortfall favors onsite generation, while colocation REITs stay insulated from the backlash

Colocation REITs Look Insulated

- **Smaller footprint:** EQIX and DLR run 5–10 MW facilities on average, versus gigawatt-scale hyperscale campuses
- **Critical infrastructure:** colocation sites are the backbone of the internet, powering enterprises, governments, schools and hospitals, which softens opposition
- **Proven community engagement:** decades of operating experience navigating municipalities, customers and permitting



Source: 451 Research, Morgan Stanley Research

US Power & Utilities

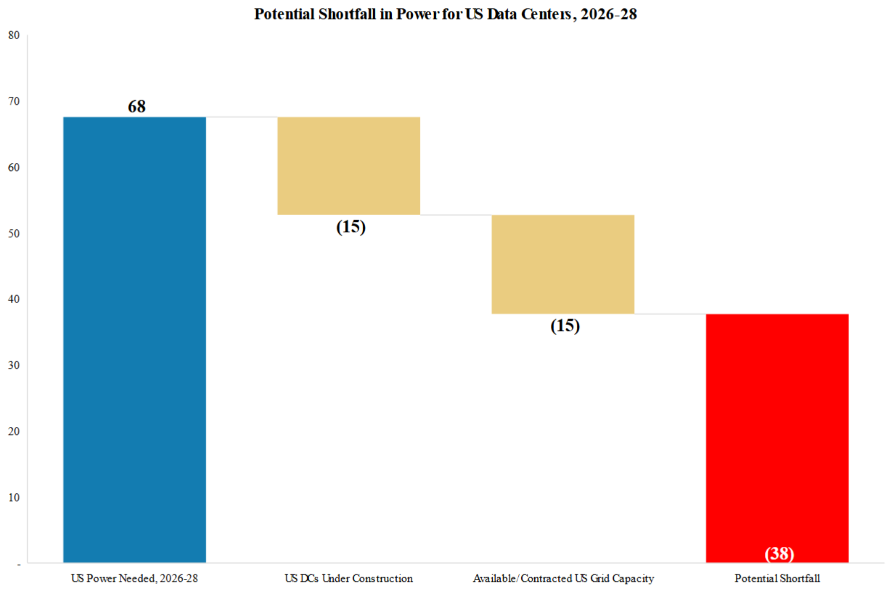
- **Shifting cost allocation:** Across different entities (utilities, utility commissions, legislators, and hyperscalers), we continue to see a push towards shifting costs onto large load customers to protect existing ratepayers
- **Even with data center cost allocation, we still see heightened affordability challenges in competitive markets with prices likely to keep rising**
- **Data centers are trending toward onsite power:** bottlenecks are beginning to form around interconnection & labor…
- …and as grid interconnection lead times extend beyond five years in certain regions and pressure increases for data centers to directly secure or fund the power they consume: **positive SEI, INIO, and BE (all OW)**

Source: Morgan Stanley Research Power Struggle: AI, Data Centers & Local Backlash (7/14/2026)

Powering GenAI: Demand for Compute > Power Supply Available

- Our latest US data center power shortfall math shows a **38 GW power bottleneck over 2026-28**, following our previous 47 GW estimate for 2025-28.

- Given community pushback and affordability concerns, relevant solutions include fuel cells, turbines, energy storage, behind-the-meter generation and Bitcoin-to-HPC site repurposing.



Source: Morgan Stanley Research

Valuation Methodology and Risks

Bloom Energy Corp. (BE.N) – last close price $239.38
Derived from an unlevered DCF analysis with 10.8% discount rate, based on a 4.0% risk-free rate, 1.75 Beta and 4.29% equity risk premium.

Risks to Upside
Higher revenue growth through '35, given current low market penetration rates
Cost reduction initiatives outpace expectations
Customer adoption increase in light of de-energization in CA.

Risks to Downside
Regulators impose charges on C&I customers that use distributed generation.
Stricter emissions regulation.
New entrants / technologies emerge with cost-competitive products.
Cost reductions don't materialize.

Innio N.V. (INIO.O) – last close price $30.16
In our DCF-based valuation we assume 17% revenue CAGR through 2035, including 19% annual growth in Equipment and 12% annual growth in Service. Adj. EBITDA margins expand from 19% in 2026 to 29.9% by 2035. High FCF conversion (as a % of adj. EBITDA) drives ~$500bn of FCF in 2026 growing to ~$1.6bn by 2030. WACC of 9.3%, driven by a 4.25% risk-free rate, 4.60% equity risk premium, 1.25 beta, and 2.5% terminal growth rate.

Risks to Upside
Incremental pricing power for 2029/30 orders
Greater intensity servicing opportunity near-term
Expanding capacity beyond 10 GW of nameplate output

Risks to Downside
Order cancellation/softer demand from data centers
Greater than expected capex and opex needed to grow
Sponsor share overhang

Valuation Methodology and Risks (continued)

Solaris Energy Infrastructure (SEI.N) – last close price $67.10
We value SEI's existing assets based on a DCF model through 2050 and no terminal value after that, consistent with the turbines asset life. Our consolidated WACC of 6.8% implies a terminal multiple of 8.6x EV/EBITDA, which is a blend of 10x for Power with long-term contracts, 7.5x for Power with short-term contracts, and 4x for Logistics. We separately add the NPV of 500 MW of incremental capacity procured annually in `29-`35, worth ~$25/share.

Risks to Upside

More capacity procured, especially gas turbines
New LT data center deals
Increasing scope of solutions offered by SEI
Worsening of grid bottlenecks, increasing the value of micro-grid solutions

Risks to Downside
No new capacity procured
No new data center deals announced
Improvement of grid bottlenecks
Concerns about the terminal value of SEI's gas turbines
Costumer concentration

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(as of June 30, 2026)

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	COVERAGE UNIVERSE		INVESTMENT BANKING CLIENTS (IBC)			OTHER MATERIAL INVESTMENT SERVICES CLIENTS (MISC)	
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Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
TOTAL	**3,668**		**933**			**1731**	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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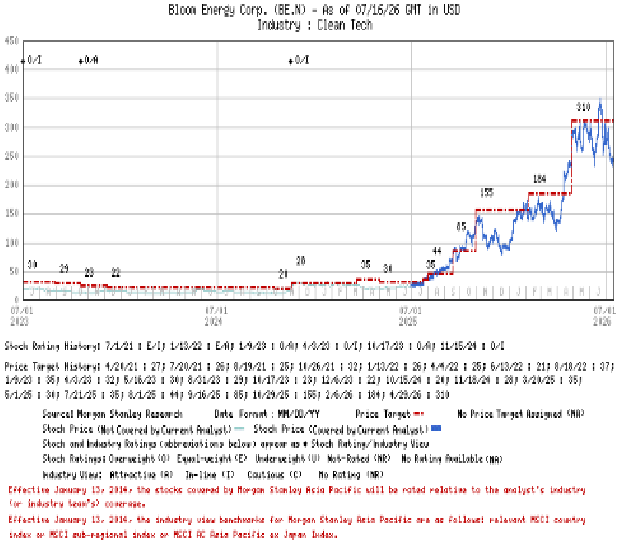

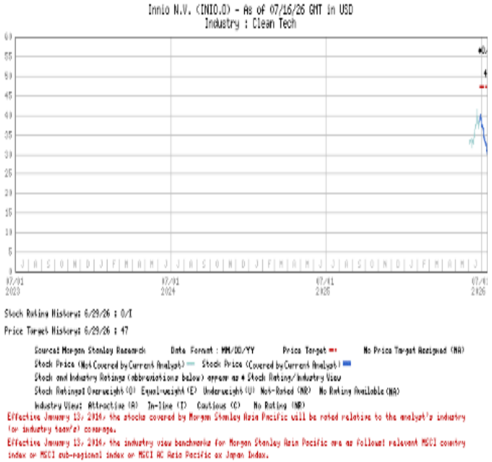

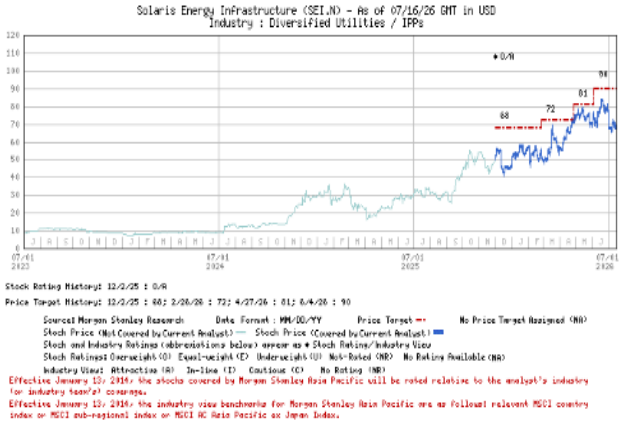

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